FIN 439 Project 1 — Investment Committee Decision Memo

Company: Ulta Beauty, Inc. (NASDAQ: ULTA)
Decision User: Buy-Side Investment Committee
Investment Horizon: 12–24 Months
Recommendation: Provisional Do Not Initiate

Investment Recommendation

I recommend that the investment committee does not initiate a position in Ulta Beauty at the October 16, 2026 reference price of $592.94 per share. My five-year discounted cash flow (DCF) model estimates an intrinsic value between $286.39 and $463.74 per share, with a base-case valuation of $393.71. Although my valuation suggests the reference stock price is above the estimated intrinsic value range, my recommendation is provisional because the model uses FY2025 financial information and requires an updated valuation-date comparison.

Financial Analysis and Valuation

I developed a five-year financial forecast for FY2026–FY2030 using Ulta's FY2025 Form 10-K. The model projects revenue, operating expenses, net income, inventory, capital expenditures, and free cash flow to the firm (FCFF). I then calculated enterprise value using a DCF model and converted it to equity value using cash, debt, and diluted shares.

Scenario	Estimated Value per Share
Downside	$286.39
Base	$393.71
Upside	$463.74

My base case assumes 5% annual revenue growth, historical gross margin and SG&A relationships, $435 million in annual capital expenditures, a 9.1% weighted average cost of capital (WACC), 2.5% terminal growth, and 44.991 million diluted shares. The downside scenario incorporates slower growth, lower margins, higher expenses, and a higher WACC. The upside scenario assumes stronger growth, improved margins, and more efficient inventory management.

Sensitivity and Comparable-Company Analysis

My sensitivity testing showed that reducing annual revenue growth from 5% to 4% decreased estimated value from $393.71 to $384.14 per share. Increasing WACC also decreased estimated value, while stronger growth and profitability improved the valuation. I considered Sally Beauty Holdings (SBH) and Bath & Body Works (BBWI) as comparable companies using EV/EBITDA and P/E approaches. Although both operate in related retail categories, differences in scale, product offerings, operating margins, reporting periods, and lease treatment limit direct comparisons. I therefore treated comparable-company valuation as a secondary perspective rather than averaging it with the DCF.

Key Investment Risks

The primary risks to my valuation include slower comparable-store sales growth, promotional pressure on gross margins, rising labor and marketing expenses, higher inventory requirements, increased capital expenditures, and changes in the cost of capital. The model also simplifies working capital beyond inventory, operating leases, depreciation, and future share repurchases. These assumptions create uncertainty around the projected cash flows and estimated intrinsic value.

Recommendation and Monitoring

I recommend that the committee defer initiating a position until more current financial information supports an attractive valuation. I would monitor quarterly comparable sales, gross margins, SG&A trends, inventory turnover, operating cash flow, capital expenditures, and changes in WACC. I would reconsider initiating a position if updated financial results supported stronger sustainable cash flows and the stock price provided an appropriate margin of safety. Overall, my DCF analysis does not support initiating a position at the referenced $592.94 share price. My recommendation remains provisional, do not initiate, subject to updated financial statements and valuation assumptions.

Source: Ulta Beauty FY2025 Form 10-K, filed March 26, 2026.

AI Disclosure: I used Codex/ChatGPT to assist with Python development, debugging, validation, and written documentation.